In its recent monetary policy review, the RBI surprised analysts by keeping key rates unchanged. Though this maintains the support for growth, the risk is uncontrolled inflation, impacting many economic actors, from consumers to manufacturers. ICICI Securities, a brokerage, estimates a two-fold economic impact of the Russian invasion: 'High crude oil prices will keep CPI inflation higher for longer, obliging the RBI to [go in for] more than the two [rate] hikes we expect in August-December 2022, unless the government sharply cuts excise duties on petrol and diesel to contain fuel inflation.' An interruption in the flow of grain from the Black Sea region could also stoke food inflation. "Inflation will definitely be higher [in the coming months]," says Ajit Ranade, vice chancellor of the Gokhale Institute of Politics and Economics. "Supply disruptions have not yet played themselves out. Our current account deficit will worsen, and the exchange rate will also be affected."

The GDP hit: After the exuberance over the 8.5 per cent growth in the second quarter of FY22, GDP growth slowed to 5.4 per cent in October-December. The Centre expects India's GDP to grow 8.9 per cent across the entire fiscal, down from the advance estimates of 9.2 per cent. Sectors such as construction, mining, manufacturing, agriculture, trade, hotels and transport have all seen a decline from last year. "If the war gets worse, there is a huge downside for the Indian economy," says Nilesh Shah, MD of Kotak Mahindra Asset Management. "The second possibility is that it is a *blitzkrieg* (an intense but brief military campaign) and things normalise soon. In that scenario, the impact of oil prices on the fiscal deficit, the CAD and inflation will be minimal."

Equity squeeze: On February 24, the day Russia announced its invasion, the BSE Sensex fell 1,874 points in intra-day trade, one of the biggest falls in recent years. Stock markets are expected to remain choppy over the next few weeks. 'Higher inflation, the worsening geopolitical situation and a faster-than-expected monetary policy normalisation by major central banks have been the headwinds for the equity markets globally since the start of the year,' says a research note from Credit Suisse. The other impact was on the rupee, the worst-performing among major Asian currencies last month. The spike in crude oil prices as a result of geopolitical tensions and the relentless selling by FPIs as central banks turned hawkish and began hiking interest rates have put pressure on the currency—on March 1, it was trading at Rs 75.70 to $1.

Trade crunch: Though Russia accounts for a small percentage of India's overall trade—about 1.5 per cent of imports and 0.8 per cent of exports—the sectors that do connect with Russian firms will be impacted by the war and international sanctions. Interruptions in supply could also add inflationary pressure.

WITH RUSSIAN BANKS EXCLUDED FROM SWIFT, THOSE TRADING WITH RUSSIAN FIRMS HAVE ADDED WORRIES ABOUT OUTSTANDING BILLS

In April-December 2021-22, the total trade value between India and Russia was $9.4 billion (Rs 71,250 crore), up from $8.1 billion (Rs 61,400 crore) in 2020-21. Major imports included about $2 billion (Rs 15,160 crore) worth of crude oil and mineral oils, as well as coal and fertiliser (in 2020, India imported $610 million, or Rs 4,624 crore, worth of the latter). Since India imports nearly all its phosphatic fertiliser, this will have an impact—the Centre subsidises urea, phosphorous and potash-based fertilisers, and has budgeted Rs 1 lakh crore on this account for 2022-23. Exports included $407 million (Rs 3,085 crore) of electrical machinery and equipment, pharmaceutical products and nuclear reactor parts, among others. As much as 13 per cent of India's tea exports also go to Russia. Now, with Russian banks excluded from SWIFT, those trading with Russian firms will have added worries about future payments and outstanding bills. Also impacted will be India's trade with Ukraine—bilateral trade stood at $2.3 billion (Rs 17,430 crore) in April-December 2021-22, down from $2.5 billion (Rs 18,950 crore) in 2020-21. Major imports included $1.35 billion (Rs 10,230 crore) worth of sunflower oil, metallurgical products, plastics and polymers. (As much as 80 per cent of India's sunflower oil comes from Ukraine.) Major exports included $110 million (Rs 834 crore) of pharmaceuticals, nuclear reactor parts, plastics and iron and steel, among other products.

It is said that there are no winners in war, only survivors. In an increasingly interconnected world, the tremors of war spread quickly, impacting millions of people across the globe. The damage already done could take years to heal. How much worse it gets depends on the crisis playing out on the north coast of the Black Sea. ■